



FREE TEACHING RESOURCE

A-Level & GCSE Business · Case Study

ALDI

The discounter that changed
UK grocery



In just over three decades Aldi has gone from an unknown German discounter to around the **fourth-largest grocer in Britain**. It did it by doing the opposite of the big supermarkets: a small range, mostly own-label, in smaller, cheaper-to-run stores. This pack turns that story into ready-to-teach material with real, dated figures and exam-style questions for GCSE and A-Level.

~10.2%

UK grocery market share
(Kantar, Jan 2026)

£18.1bn

UK sales, FY to Dec 2024
(+4.8%)

£435.5m

Operating profit (down
from £552.9m)

~1,800

Products per store vs
~30,000 at a big-four rival

The quick timeline

1990 - Aldi opens its first UK store and starts undercutting the established supermarkets on price.

2008-2014 - the financial crisis and the squeeze on household budgets send shoppers to the discounters; Aldi's share climbs fast.

2022 - Aldi overtakes Morrisons to become Britain's fourth-largest supermarket.

2025-26 - Aldi announces a record £1.6bn investment to open around 80 more stores, pushing toward a long-term target of about 1,500 UK stores.

Use this pack as a one-lesson case study, a homework booklet, or a bank of exam questions you drop into revision. Every figure is dated and sourced on page 8.

Five ways to use this pack

- 1. Starter case study** - read this page, answer GCSE Q1-3 (page 6).
- 2. Full lesson** - teach the cost-leadership model (page 3), then set Q4-5.
- 3. Homework booklet** - A-Level Q6-9 with the mark guidance on page 7.
- 4. Revision** - the stat cards above and the glossary make a ready knowledge organiser.
- 5. Cover lesson** - it runs itself: questions, answers and timings are all here.

NOTES AND DISCUSSION

Aldi competes on **cost leadership**: being the lowest-cost operator in the market so it can charge the lowest prices and still make a profit. Almost every design choice serves that one goal.

Why Aldi can charge less: a deliberately small range



A typical Aldi store stocks roughly 1,800 lines; a big-four supermarket carries around 30,000.

How the model cuts cost

Fewer products. A small range means huge orders of each line, so Aldi buys more cheaply (economies of scale) and wastes less shelf space.

Mostly own-label. The large majority of the range is Aldi's own brands, avoiding the price premium of big-name suppliers.

Lean stores. Smaller shops, products sold from the box, multiple barcodes and fast checkouts mean fewer staff hours per pound of sales.

Link it to the spec

Competitive advantage - cost leadership vs differentiation.

Economies of scale - bulk buying lowers unit cost.

Operations - efficiency, productivity, lean operations.

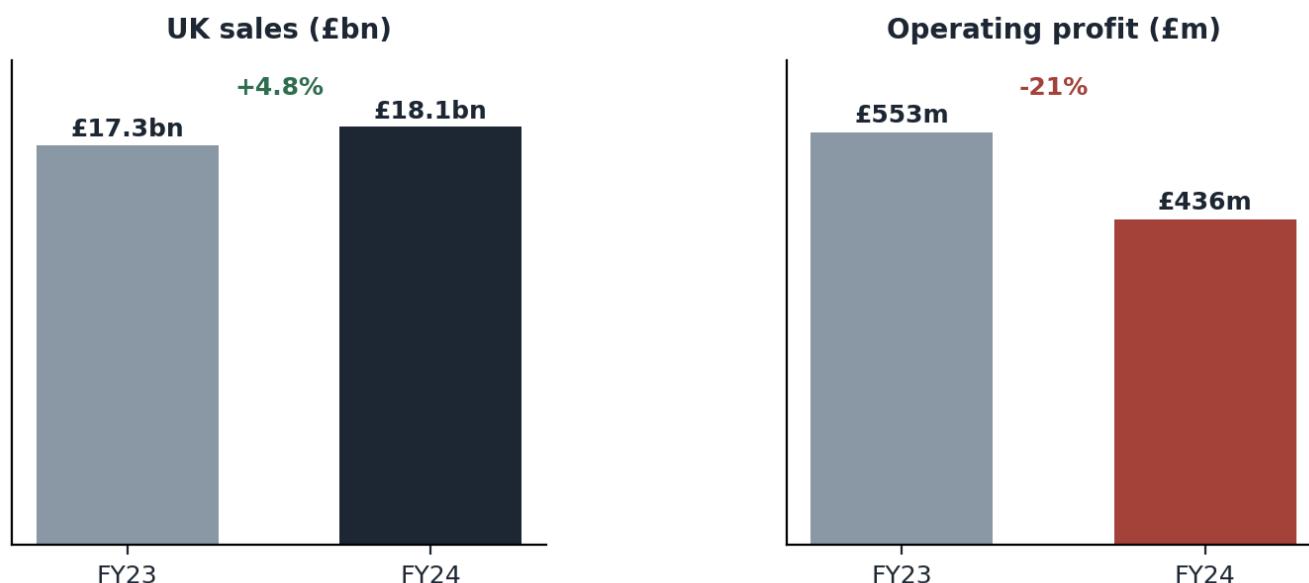
Marketing mix - low price as the core of the offer; the 'Like Brands, Only Cheaper' positioning.

How this shows up in exams

Examiners like cost leadership because it forces a judgement: low prices win customers but squeeze margins. Strong answers follow the whole chain - small range leads to bigger bulk orders, which lowers the unit cost, which lets Aldi price lower - rather than stopping at 'they buy in bulk'. Get students to finish the chain.

Sales up, profit down - the margin squeeze

In the year to December 2024 Aldi's UK **sales rose 4.8% to £18.1bn** - but **operating profit fell to £435.5m**, down from £552.9m the year before, a drop of about 21%. Growing sales and shrinking profit at the same time is one of the richest discussion points in the whole course.



Why did profit fall while sales grew?

Aldi chose to **hold prices down** to stay the cheapest, which squeezes the profit margin on each sale. At the same time it was **spending heavily** - new stores, distribution and higher staff pay. So revenue and profit moved in opposite directions: more sold, less kept per pound.

The teaching point: revenue is not profit. A business can grow its top line and still see profit fall if costs rise faster or margins are deliberately cut. That is a strategic choice (defend market share now, protect profit later), not necessarily a failure - which is exactly what a good 'evaluate' answer weighs up.

Quick board work: operating profit change = $(435.5 - 552.9) / 552.9 \times 100 = -21.2\%$ (1 d.p.). Operating margin = operating profit / sales = $435.5 / 18,100 \times 100 = \text{about } 2.4\%$.

NOTES AND DISCUSSION

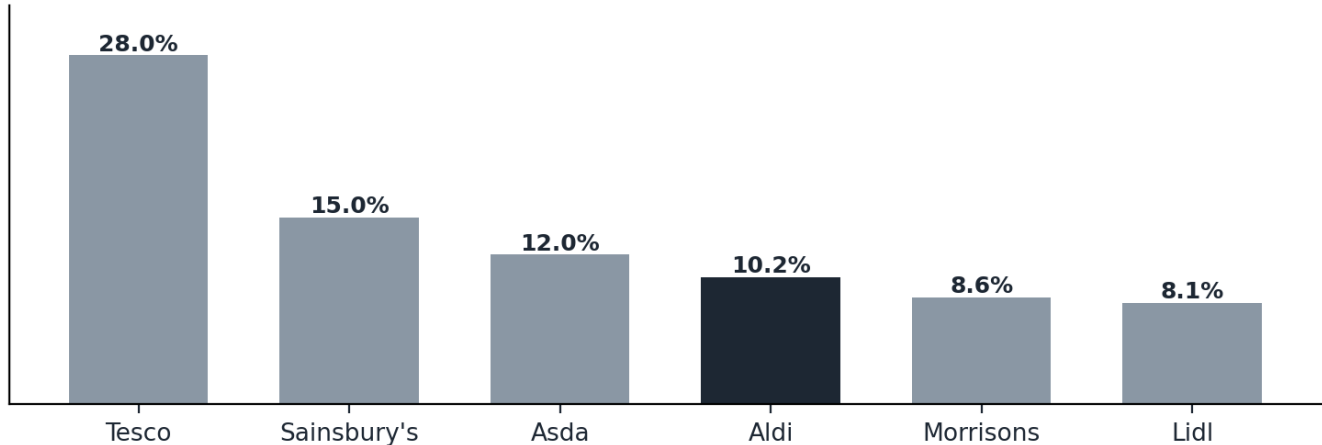
The market: a discounter among giants

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Aldi sells to a **mass market** and competes head-on with much bigger rivals. Kantar put its grocery share at about **10.2% in January 2026** - enough to make it around the UK's fourth-largest grocer, behind Tesco, Sainsbury's and Asda.

UK grocery market share — Aldi is now around the 4th largest



Approximate Kantar grocery shares, early 2026. Aldi share 10.2% (Kantar, Jan 2026); rivals approximate.

Why this market is hard to win

Low margins, high volume. Groceries are price-sensitive and competitive, so everyone fights for share on price and convenience.

The big four fought back. Aldi and Lidl's success pushed Tesco, Sainsbury's, Asda and Morrisons to expand their own-label ranges and price-match schemes - a textbook competitive response.

Expansion as strategy. Aldi's £1.6bn, ~80-store push is a bet that more locations win more shoppers before rivals close the price gap.

Exam angle

A 'to what extent' question on competitive advantage is the classic Aldi task. The best answers note that a low price is easy for rivals to copy - Tesco and Sainsbury's price-matching schemes do exactly that - so cost leadership has to be defended constantly. That is why the £1.6bn expansion and relentless efficiency matter: they keep Aldi cheaper than firms trying to copy it.

Classroom tasks - exam-style questions

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Questions are written in exam style and tagged to the spec. Mark guidance is on page 7. Encourage students to use the case's real numbers - that is what moves an answer from Level 1 to Level 2 and beyond.

GCSE - AQA Business 8132 (Paper 1 / Paper 2 style)	Marks
1. Define the term 'cost leadership'.	2
2. Calculate the percentage change in Aldi's operating profit from FY23 (£552.9m) to FY24 (£435.5m). Show your working.	3
3. Explain one way Aldi's limited product range helps it keep prices low.	3
4. Analyse the benefits to Aldi of opening around 80 new stores.	9
5. Evaluate whether rising sales but falling profit is a problem for Aldi.	12

A-Level - AQA 7132 / Edexcel 9BS0	Marks
6. Explain how economies of scale support Aldi's cost-leadership strategy.	5
7. Analyse why Aldi's operating profit fell despite higher sales.	9
8. Assess the case for Aldi's £1.6bn store-expansion plan.	16
9. 'Cost leadership is not a sustainable competitive advantage.' To what extent do you agree, using Aldi?	25

Timing and differentiation

Timing: Q1-3 as a 15-minute starter; Q4-5 as the main written task; Q6-9 for A-Level or homework.

Support: give the glossary (page 7) as a word bank and model the Q2 calculation before students try it.

Stretch: ask students to argue the opposite conclusion to Q9 and defend it - the strongest evaluators hold both sides.

Banded guidance for the extended questions - what separates the levels.

Level	What it looks like (Q5 / Q7 / Q8 / Q9 style)
L1	Defines terms or makes a general point about discounters with no link to Aldi's figures.
L2	Applies to Aldi - uses the case: £18.1bn sales, the 21% profit fall, ~1,800 lines, 10.2% share.
L3	Analyses a chain: e.g. hold prices low -> margin squeezed -> profit falls now -> share defended for later.
L4	Judges it: weighs both sides and reaches a supported conclusion (is the trade-off worth it, and for whom?).

Worked marks for Q2 (calculation)

Change = $(435.5 - 552.9) / 552.9 \times 100 = -21.2\%$ (accept -21%). 1 mark method, 1 mark figure, 1 mark sign/units. A common error is forgetting the minus - profit fell.

Case glossary

Term	Meaning in this case
Cost leadership	Competing by being the lowest-cost operator so you can charge the lowest prices and still profit.
Economies of scale	Lower cost per unit from buying or producing in large quantities - Aldi's huge orders of few lines.
Own-label	Products sold under the retailer's own brand rather than a national brand; most of Aldi's range.
Operating profit	Profit from normal trading, before interest and tax - here £435.5m.
Operating margin	Operating profit as a percentage of sales - about 2.4% for Aldi in FY24.
Market share	One firm's sales as a percentage of the total market - Aldi ~10.2% of UK grocery.

Aldi is a case students remember - because they shop there. The natural next step is to let them *run* a business and feel the same trade-off Aldi lives with: drop your price to win customers, and watch your margin.

Bring it to life: The Business School simulation

What it is	A browser-based classroom simulation. Five teams run a company in a 60-minute session - they set prices, hire staff, take loans, handle VAT and negotiate deals.
What you do	Watch a live dashboard; the work is auto-graded. No installs, students join with a PIN.
How to try it	The current pilot cohort is full - join the waitlist at thebusiness.school for the next round. Free during the pilot; we just ask for honest feedback.

Sources & dates

Kantar Worldpanel grocery market share (Aldi ~10.2%, January 2026). Aldi UK full-year results to December 2024: sales £18.1bn (+4.8%), operating profit £435.5m (prior year £552.9m) - reported by Grocery Gazette and Retail Week, Sept 2025. Record £1.6bn / ~80-store expansion - Aldi UK Press Centre. Product-range comparison (~1,800 vs ~30,000 lines) - industry/Kantar/IGD reporting. Figures are approximate and current as of June 2026; check the latest before teaching.

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